MANAGEMENT OPERATING REVIEW - RECORD 015

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Quarterly Business Review for Q1 2025: purpose and attendance

Reading the packet aloud was abandoned two sessions ago and nobody has asked for it back. The next session is set for 2025-05-15. One function submitted its pre-read late. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Pre-reads went out ahead of the 2025-04-24 session. Marguerite Do, Director of Sales Operations, presented the operations section. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Data definitions travel with the packet now, because two functions were counting the same thing differently. One function submitted its pre-read late. The Quarterly Business Review convened for Q1 2025. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Marguerite Do, Director of Sales Operations, presented the operations section. The next session is set for 2025-05-15. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Attendance was complete across the functions that own the numbers, and two guests joined for the sections that concerned them. Sunil Achterberg attended as Director of Field Service. Marguerite Do, Director of Sales Operations, presented the operations section. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Quarterly Business Review convened for Q1 2025. The next session is set for 2025-05-15. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Meeting discipline held: sections that had no decision to make were noted as read and skipped in the room. The Quarterly Business Review convened for Q1 2025. Sunil Achterberg attended as Director of Field Service. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Notes were circulated on 2025-04-24. Marguerite Do, Director of Sales Operations, presented the operations section. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Bookings against the operating plan

Late-quarter intake distorted the shape of the funnel again, and the pattern is now visible in three consecutive periods of data. Discount depth peaked on the Pinebank Distribution multi-site award. The book took 231 units, against 69 last period. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Northstar Cold Chain accounted for the largest single order. Win rate held at 35 percent on 133 live opportunities. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

A single reseller relationship produced more qualified volume than the whole outbound programme, which raises an uncomfortable question about channel mix. Signed volume: 231 units, win rate 35 percent. Discount depth peaked on the Pinebank Distribution multi-site award. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Intake closed at 231 units for Q1 2025. The book took 231 units, against 69 last period. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Pricing exceptions ran above the standing threshold this period, mostly on multi-site commitments where the customer wanted a single unit price. Northstar Cold Chain accounted for the largest single order. Open pursuits number 133, up from 121. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Win rate held at 35 percent on 133 live opportunities. Intake closed at 231 units for Q1 2025. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Field feedback contradicted the commercial narrative on one account, and the review chose to believe the field. Northstar Cold Chain accounted for the largest single order. Win rate held at 35 percent on 133 live opportunities. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The book took 231 units, against 69 last period. Open pursuits number 133, up from 121. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

The order book now holds enough signed volume to fill the build plan through the next two build cycles without new intake. The book took 231 units, against 69 last period. Discount depth peaked on the Pinebank Distribution multi-site award. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Win rate held at 35 percent on 133 live opportunities. Northstar Cold Chain accounted for the largest single order. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Sales operations rebuilt the stage definitions after a review found three deals sitting in a proof-of-concept stage with no active pilot. Open pursuits number 133, up from 121. Northstar Cold Chain accounted for the largest single order. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Win rate held at 35 percent on 133 live opportunities. Signed volume: 231 units, win rate 35 percent. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Second-source qualification progress reviewed in Q1 2025

Qualification step	Candidate source	Owner	Planned date	Actual date	Result
Request for quotation issued	Brightwater Motion drive unit	Tobias Nkemdirim	2025-02-13	2025-02-11	retest scheduled
Sample order placed	Brightwater Motion drive unit	Hollis Bramwell	2025-02-27	2025-02-28	complete
First article dimensional inspection	Brightwater Motion drive unit	Hollis Bramwell	2025-03-13	2025-03-17	in progress
Thermal soak test	Brightwater Motion drive unit	Hollis Bramwell	2025-03-27	2025-04-03	pass
Endurance run to two thousand hours	Brightwater Motion drive unit	Emil Farkas	2025-04-10	2025-04-09	fail, two of eight samples
Process audit at supplier	Brightwater Motion drive unit	Hollis Bramwell	2025-04-24	2025-04-26	pass with observation
Production part approval	Brightwater Motion drive unit	Marcus Peil	2025-05-08	2025-05-13	retest scheduled
First production lot	Brightwater Motion drive unit	Tobias Nkemdirim	2025-05-22	2025-05-30	complete
Request for quotation issued	Penrose Castings frame	Emil Farkas	2025-02-18	2025-02-18	in progress
Sample order placed	Penrose Castings frame	Tobias Nkemdirim	2025-03-04	2025-03-07	pass
First article dimensional inspection	Penrose Castings frame	Hollis Bramwell	2025-03-18	2025-03-24	fail, two of eight samples
Thermal soak test	Penrose Castings frame	Marcus Peil	2025-04-01	2025-03-30	pass with observation
Endurance run to two thousand hours	Penrose Castings frame	Marcus Peil	2025-04-15	2025-04-16	retest scheduled
Process audit at supplier	Penrose Castings frame	Emil Farkas	2025-04-29	2025-05-03	complete
Production part approval	Penrose Castings frame	Emil Farkas	2025-05-13	2025-05-20	in progress
First production lot	Penrose Castings frame	Hollis Bramwell	2025-05-27	2025-05-26	pass

Deal inspection

Deal inspection surfaced a habit of re-dating rather than re-qualifying, and the review asked for a hard rule on how many times a close date can move. Marguerite Do owns the re-qualification pass. Weighted coverage sits near 133 open pursuits. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Conversion into

commercial close remains the weak stage. The Quillon Home Supply pursuit re-dated again. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Qualification notes on the top ten pursuits were read aloud, which took most of the meeting and was the most useful thing in it. Marguerite Do owns the re-qualification pass. Two losses went to the same competitor. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Quillon Home Supply pursuit re-dated again. Deals leaving the period: 13, most still dated. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Multi-year commitments are becoming the norm in this segment, which stabilises the site queue and complicates the revenue phasing. Deals leaving the period: 13, most still dated. Marguerite Do owns the re-qualification pass. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Slippage totalled 13 opportunities against 10 before. The Quillon Home Supply pursuit re-dated again. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Late-stage legal review has become a recurring source of slip, and the general counsel asked for the pattern rather than the anecdotes. Slippage totalled 13 opportunities against 10 before. Marguerite Do owns the re-qualification pass. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Conversion into commercial close remains the weak stage. Two losses went to the same competitor. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Slippage this period was not random: the deals that moved had a common feature, which is that the customer had no internal project owner. Deals leaving the period: 13, most still dated. Weighted coverage sits near 133 open pursuits. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Quillon Home Supply pursuit re-dated again. Two losses went to the same competitor. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

The largest pursuit in the book carries a dependency on the customer finishing a racking project that has already been delayed twice. Marguerite Do owns the re-qualification pass. Two losses went to the same competitor. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Quillon Home Supply pursuit re-dated again. Deals leaving the period: 13, most still dated. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Inventory coverage by commodity and stocking point, Q1 2025

Commodity	Stocking point	On hand units	Coverage weeks	Policy weeks	Action agreed
Drive units	Plant stockroom	52	1	4	expedite inbound
Lidar assemblies	Plant stockroom	41	9	6	review with supplier
Battery packs	Plant stockroom	35	4	8	disposition required
Castings	Plant stockroom	32	11	4	raise buffer
Sheet metal	Plant stockroom	29	2	6	hold policy
Wire harness	Plant stockroom	23	7	8	reduce to policy
Controllers	Plant stockroom	20	1	4	expedite inbound
Caster and wheel sets	Plant stockroom	65	8	6	review with supplier
Drive units	Regional depots	26	5	8	disposition required
Lidar assemblies	Regional depots	20	12	4	raise buffer
Battery packs	Regional depots	17	7	6	hold policy
Castings	Regional depots	16	14	8	reduce to policy
Sheet metal	Regional depots	14	3	4	expedite inbound
Wire harness	Regional depots	11	11	6	review with supplier
Controllers	Regional depots	10	6	8	disposition required
Caster and wheel sets	Regional depots	32	13	4	raise buffer

Installation programme

Customer-side readiness remains the single largest determinant of go-live date, and it is the variable the company controls least. Queue depth reached 24 sites. Salinas Valley was held at the readiness gate. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Go-live cycle: 47 days, from 49. Cedar Bluff and Ashland Park both cleared acceptance testing. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Parallel deployment at two sites in the same region worked for the first time, which changes what the queue can absorb. Queue depth reached 24 sites. The queue carries 24 sites, 25 a period ago. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Go-live cycle: 47 days, from 49. Sunil Achterberg sequenced the queue by readiness. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

The queue holds three sites with no confirmed dock date from the customer, and the review declined to schedule crews against hope. Sunil Achterberg sequenced the queue by readiness. Go-live cycle: 47 days, from 49. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Queue depth reached 24 sites. The queue carries 24 sites, 25 a period ago. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Days from contract to go-live improved, but the improvement came from the front of the process rather than from anything the installation crews changed. Queue depth reached 24 sites. Cedar Bluff and Ashland Park both cleared acceptance testing. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The queue carries 24 sites, 25 a period ago. Go-live cycle: 47 days, from 49. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

The deployment playbook was rewritten mid-period after a crew found that the network prerequisites section was three revisions out of date. Sunil Achterberg sequenced the queue by readiness. Cedar Bluff and Ashland Park both cleared acceptance testing. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The queue carries 24 sites, 25 a period ago. Contract to go-live averaged 47 days. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Crew travel days per site came down, largely because two regional hubs now hold enough tooling to avoid shipping kit ahead of each job. Queue depth reached 24 sites. Contract to go-live averaged 47 days. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The queue carries 24 sites, 25 a period ago. Salinas Valley was held at the readiness gate. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Crew loading and certification

Utilisation above ninety percent leaves nothing for the unplanned second visit, and the second visit happens on roughly one site in four. Riverbend needed a second crew visit. Utilisation was 88 percent against 92 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Installer utilisation ran at 88 percent. Travel days per site fell again. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Handover from crew to service is still informal, and two accounts have complained about who to call after go-live. Riverbend needed a second crew visit. Crew leads remain the gating resource. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Emil Farkas covered two regions this period. Installer utilisation ran at 88 percent. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Contractor coverage buys schedule protection at a cost per site that the review agreed to carry for a bounded number of jobs. Crew leads remain the gating resource. Installer utilisation ran at 88 percent. This closed the first quarter

with two sources. Dual supply changed the coverage arithmetic. Riverbend needed a second crew visit. Travel days per site fell again. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Regional crew hubs changed the utilisation picture more than any hiring decision made in the same period. Installer utilisation ran at 88 percent. Utilisation was 88 percent against 92 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Crew leads remain the gating resource. Certified crew count trails the site queue of 24. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Weekend and holiday work is filling gaps that the capacity model does not show, which makes the model look better than reality. Emil Farkas covered two regions this period. Installer utilisation ran at 88 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Utilisation was 88 percent against 92 percent. Riverbend needed a second crew visit. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Crew composition changed this period, with more integration skill and less mechanical assembly skill in each team. Utilisation was 88 percent against 92 percent. Installer utilisation ran at 88 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Certified crew count trails the site queue of 24. Crew leads remain the gating resource. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Work in process ageing at the Q1 2025 cut-off

Build lot	Units	Days in work in process	Held for	Expected release
LOT-1501	9	23	lidar window assembly	2025-04-29
LOT-1502	5	2	controller firmware load	2025-05-03
LOT-1503	4	19	customer configuration decision	2025-05-07
LOT-1504	4	10	test cell slot	2025-05-11
LOT-1505	2	21	harness rework	2025-05-15
LOT-1506	2	4	nothing, awaiting ship date	2025-05-19
LOT-1507	1	15	drive unit	2025-05-23
LOT-1508	6	2	lidar window assembly	2025-05-27
LOT-1509	8	15	controller firmware load	2025-05-31
LOT-1510	4	6	customer configuration decision	2025-06-04
LOT-1511	3	21	test cell slot	2025-06-08
LOT-1512	3	12	harness rework	2025-06-12
LOT-1513	1	23	nothing, awaiting ship date	2025-06-16
LOT-1514	1	2	drive unit	2025-06-20
LOT-1515	1	19	lidar window assembly	2025-06-24
LOT-1516	5	10	controller firmware load	2025-06-28
LOT-1517	7	21	customer configuration decision	2025-07-02
LOT-1518	3	4	test cell slot	2025-07-06

Manufacturing output

Line output has been steady for three periods while the plan has grown, which is a planning problem dressed up as an execution problem. Output reached 79 units, from 71. Attainment gap: 1 units short of plan. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Plan was 80 units; the line delivered 79. Work in process ended at 33 units. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

The build plan was cut mid-period rather than allowed to fail quietly, and the cut was communicated to deployment the same week. Work in process ended at 33 units. Plan was 80 units; the line delivered 79. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Marcus Peil owns the line rebalance. Attainment gap: 1 units short of plan. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Second-shift ramp is going more slowly than planned because training the new operators takes line time from the first shift. The HS-400 pallet mover drove most of the changeover time. Output reached 79 units, from 71. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Overtime carried the closing two weeks. Attainment gap: 1 units short of plan. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Test-cell capacity will bind before assembly capacity does, and the capital request to fix that has already been deferred once. Output reached 79 units, from 71. Attainment gap: 1 units short of plan. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Overtime carried the closing two weeks. Plan was 80 units; the line delivered 79. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Work instructions were re-photographed for the revised sensor head, ending a period where operators worked from a printout with a pen annotation. Plan was 80 units; the line delivered 79. The HS-400 pallet mover drove most of the changeover time. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Attainment gap: 1 units short of plan. Output reached 79 units, from 71. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Rebalancing the two assembly cells lifted output without adding people, mostly by moving the harness dress-up operation upstream. Marcus Peil owns the line rebalance. Work in process ended at 33 units. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Attainment gap: 1 units short of plan. Output reached 79 units, from 71. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Constraint tracking since the last session

Constraint under review: sensor assembly yield, at the containment lifted stage as of this session. Hundred percent inspection came off in week three of the quarter after four clean weeks, and sampling reverted to one in ten with a documented trigger to reinstate. Bookings 231 units across 133 pursuits. The Beacon WMS adapter took most of the test cell time.

Constraint under review: cash and collections, at the burn shape stage as of this session. Burn is flat in aggregate but its shape changed: engineering payroll is up, contract deployment labour is up, and capex on test cells is down because two builds were deferred. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Inbound freight mode shifted toward air on two part numbers, which protected the build plan and shows up in cost per unit. Halverson Optics missed two consecutive commit dates. Calder Battery Works improved after a site visit. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Supplier on-time delivery came in at 91 percent. Coverage weeks on long-lead parts were extended. Go-live cycle 47 days at Ashland Park. Capital spend 940 thousand this period. Utilisation 88 percent, Crew Foxtrot fully committed. Quillon Home Supply asked for the HS-400 pallet mover configuration.

Fleet uptime by live site, Q1 2025

Site	Fleet units	Uptime %	Contract floor %	Service credit exposure
Ashland Park	18	97.0	96.0	none
Riverbend	20	97.8	97.0	none
Kennesaw	14	97.3	97.0	none
Fort Dodge	24	98.0	96.0	none
Salinas Valley	22	97.5	97.0	none
Chandler South	18	98.2	97.0	none
Elk Grove	16	97.1	96.0	none
Cedar Bluff	22	97.9	97.0	none
Norfolk	20	97.4	97.0	none
Tulsa	14	98.1	96.0	none
Redlands	24	97.2	97.0	none
Grand Forks	16	97.7	97.0	none
Waukegan	18	97.0	96.0	none

Site	Fleet units	Uptime %	Contract floor %	Service credit exposure
Mesquite	20	97.8	97.0	none
Ashland Park (phase two)	14	97.0	97.0	none
Riverbend (phase two)	24	97.7	96.0	none
Kennesaw (phase two)	22	97.2	97.0	none
Fort Dodge (phase two)	18	97.9	97.0	none
Salinas Valley (phase two)	16	96.8	96.0	none
Chandler South (phase two)	22	97.6	97.0	none

Quality performance

The corrective action closed with evidence rather than with an assertion, and the evidence was three weeks of clean sampling data. Yield was 95 percent against 94 percent. Ironbark Sheet Metal changed a process without notice. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Rework hours concentrated in the sensor cell. Dana Whitlock signed the corrective action. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Inspection sampling reverted to the standard plan with a documented trigger, so the next excursion will be caught earlier. Rework hours concentrated in the sensor cell. Scrap ran 19 thousand, from 22 thousand. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Dana Whitlock signed the corrective action. Scrap totalled 19 thousand dollars. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Quality engineering asked for one more headcount and got a re-prioritisation instead, which the review acknowledged as a real trade. Dana Whitlock signed the corrective action. Yield was 95 percent against 94 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Ironbark Sheet Metal changed a process without notice. Scrap ran 19 thousand, from 22 thousand. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Process capability studies were completed on the two operations that had never had one, and one of them failed. Rework hours concentrated in the sensor cell. Scrap totalled 19 thousand dollars. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Yield was 95 percent against 94 percent. Scrap ran 19 thousand, from 22 thousand. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Containment held: nothing built in the affected window left the plant without a hundred percent inspection record attached. Ironbark Sheet Metal changed a process without notice. Rework hours concentrated in the sensor cell. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Dana Whitlock signed the corrective action. Yield was 95 percent against 94 percent. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Escapes to the field are the measure that matters, and this period produced a number that the service team could absorb. Dana Whitlock signed the corrective action. Yield was 95 percent against 94 percent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Rework hours concentrated in the sensor cell. Ironbark Sheet Metal changed a process without notice. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Working capital

Days sales outstanding is the metric under active management, and the improvement came from the invoicing process rather than from customer behaviour. Receipts of 8460 thousand outpaced invoicing. Dana Whitlock moved collections calls to the account teams. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Pinebank Distribution requires a separate submission path. Collections totalled 8460 thousand dollars. Capital

spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Two large receivables aged past ninety days, and both trace to a purchase order number mismatch rather than to unwillingness to pay. Two receivables aged past ninety days. Days sales outstanding closed at 45 days. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Collections totalled 8460 thousand dollars. Receipts of 8460 thousand outpaced invoicing. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Payment terms granted in commercial negotiation were never visible to the finance team until invoicing, and that has been fixed. Pinebank Distribution requires a separate submission path. Dana Whitlock moved collections calls to the account teams. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Days sales outstanding closed at 45 days. Collections totalled 8460 thousand dollars. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Bad debt remains immaterial, and the review noted that this is a function of customer quality rather than of credit discipline. Collections totalled 8460 thousand dollars. Two receivables aged past ninety days. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Outstanding days improved from 47 to 45. Pinebank Distribution requires a separate submission path. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Getting the acceptance document signed on the day of go-live is worth more to cash than any collections call. Outstanding days improved from 47 to 45. Dana Whitlock moved collections calls to the account teams. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Days sales outstanding closed at 45 days. Pinebank Distribution requires a separate submission path. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Collections outpaced invoicing this period, which flatters the cash number and does not repeat. Receipts of 8460 thousand outpaced invoicing. Two receivables aged past ninety days. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Dana Whitlock moved collections calls to the account teams. Days sales outstanding closed at 45 days. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Intervention causes across the fleet, Q1 2025

Cause category	Site band	Interventions	Share of total %	Accountable party	Trend
Floor marking and facility	ten largest sites	9	6.5	Manufacturing	improving
Operator intervention	ten largest sites	5	3.6	Field service	flat
Navigation software	ten largest sites	3	2.2	Product	worsening
Drive unit hardware	ten largest sites	22	15.9	Customer facility team	improving sharply
Sensor head hardware	ten largest sites	16	11.6	Customer operations	first period measured
Warehouse management interface	ten largest sites	12	8.7	Engineering	improving
Battery and charging	ten largest sites	10	7.2	Manufacturing	flat
Unclassified	ten largest sites	8	5.8	Field service	worsening
Floor marking and facility	remaining sites	5	3.6	Product	improving sharply
Operator intervention	remaining sites	2	1.4	Customer facility team	first period measured
Navigation software	remaining sites	1	0.7	Customer operations	improving
Drive unit hardware	remaining sites	12	8.7	Engineering	flat
Sensor head hardware	remaining sites	9	6.5	Manufacturing	worsening
Warehouse management interface	remaining sites	7	5.1	Field service	improving sharply

Cause category	Site band	Interventions	Share of total %	Accountable party	Trend
Battery and charging	remaining sites	5	3.6	Product	first period measured
Unclassified	remaining sites	4	2.9	Customer facility team	improving

Runway and triggers

Capital spending on test cells was deferred, which protects cash now and constrains build capacity later. Capital spend was 940 thousand dollars. Burn for the period was 9380 thousand dollars. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Marguerite Do holds the trigger list. Test-cell capital was deferred again. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

The downside trigger was armed after two large bookings left the quarter, and nine requisitions were paused within a week. Runway stands at 16 months on the middle case. Marguerite Do holds the trigger list. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Runway moved from 16 to 16 months. Capital spend was 940 thousand dollars. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Fixed cost per period has grown with facilities and tooling commitments that cannot be unwound inside a quarter. Runway stands at 16 months on the middle case. Spending ran 9380 thousand against 3120 thousand. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Capital spend was 940 thousand dollars. Runway moved from 16 to 16 months. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Every scenario assumes the deployment cost per site keeps falling, and that assumption deserves more scrutiny than it has had. Marguerite Do holds the trigger list. Spending ran 9380 thousand against 3120 thousand. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Burn for the period was 9380 thousand dollars. Capital spend was 940 thousand dollars. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Fixed commitments have grown to the point where the fastest lever left is contract labour. Capital spend was 940 thousand dollars. Runway stands at 16 months on the middle case. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Test-cell capital was deferred again. Burn for the period was 9380 thousand dollars. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Runway under the middle scenario extended, and the review chose to plan against that case while holding triggers for the downside. Runway moved from 16 to 16 months. Test-cell capital was deferred again. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Burn for the period was 9380 thousand dollars. Spending ran 9380 thousand against 3120 thousand. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Customer escalations live at the Q1 2025 review

Account	Issue	Opened	Severity	State	Next step
Pinebank Distribution	aisle congestion at peak	2025-04-12	high, customer executive involved	open	parts shipped
Alder & Vance Retail	charger fault on two units	2025-04-03	medium	mitigated	site visit booked
Northstar Cold Chain	interface timeouts to the host	2025-03-25	high, customer executive involved	closed	parts shipped
Havering Logistics	sensor head replacement scheduling	2025-03-16	medium	monitoring	parameter set applied
Quillon Home Supply	operator training gap	2025-03-07	high, customer executive involved	escalated to product	parts shipped
Tenmile Freight	uptime reporting dispute	2025-02-26	medium	open	parts shipped
Bexley Pharmaceutical	docking misalignment after	2025-02-17	high, customer executive involved	mitigated	definition agreed

Account	Issue	Opened	Severity	State	Next step
Wholesale	release				
Marrowfield Grocers	aisle congestion at peak	2025-02-08	medium	closed	no further action
Pinebank Distribution - second site	charger fault on two units	2025-01-30	high, customer executive involved	monitoring	parts shipped
Alder & Vance Retail - second site	interface timeouts to the host	2025-01-21	medium	escalated to product	parameter set applied
Northstar Cold Chain - second site	sensor head replacement scheduling	2025-01-12	high, customer executive involved	open	definition agreed
Havering Logistics - second site	operator training gap	2025-01-03	medium	mitigated	joint review scheduled
Quillon Home Supply - second site	uptime reporting dispute	2024-12-25	high, customer executive involved	closed	no further action
Tenmile Freight - second site	docking misalignment after release	2024-12-16	medium	monitoring	parameter set applied
Bexley Pharmaceutical Wholesale - second site	aisle congestion at peak	2024-12-07	high, customer executive involved	escalated to product	no further action

Roadmap against commitments

Hardware and software roadmaps are coupled more tightly than the planning process admits, and one dependency was found late. Two roadmap checkpoints cleared; one slipped. Adapter work crowded out platform work again. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Field data now sets the reliability backlog order. Documentation lags the current release. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

The next controller revision closes an obsolescence exposure and requires a re-validation cycle that has to be planned now. Documentation lags the current release. Adapter work crowded out platform work again. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Two roadmap checkpoints cleared; one slipped. Release staging across sites is now standard. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Documentation and training material lag every release, and the lag is now a deployment risk rather than a nuisance. Sunil Achterberg brought the decision to stop one feature. Field data now sets the reliability backlog order. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Adapter work crowded out platform work again. Two roadmap checkpoints cleared; one slipped. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

Committed customer dates and internal roadmap dates were put on the same page for the first time, and they did not match. Sunil Achterberg brought the decision to stop one feature. Adapter work crowded out platform work again. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Beacon WMS adapter absorbed most of the engineering effort. Two roadmap checkpoints cleared; one slipped. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Release quality improved once simulation coverage became a gate rather than a report. Field data now sets the reliability backlog order. Two roadmap checkpoints cleared; one slipped. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The Beacon WMS adapter absorbed most of the engineering effort. Documentation lags the current release. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

Fleet orchestration release slipped a milestone, and the slip was accepted in exchange for keeping the docking regression fix on schedule. Documentation lags the current release. Field data now sets the reliability backlog order. This

closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Release staging across sites is now standard. Two roadmap checkpoints cleared; one slipped. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Where the room did not agree

Two functions read the reliability data differently, and the review agreed to a single definition before arguing again. The minority view is preserved in the record. The disagreement is recorded rather than resolved. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. A further test was added because of the dissent. Marguerite Do and Sunil Achterberg read the data differently. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Product and sales disagreed on whether the pilot feature should be committed to a customer date, and the answer was no. No consensus was reached; the Chief Executive Officer decided. The objection was noted against the decision. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Dana Whitlock asked for the decision to be revisited. Marguerite Do and Sunil Achterberg read the data differently. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Two owners left the room unconvinced, and the record says so rather than pretending otherwise. The disagreement is recorded rather than resolved. No consensus was reached; the Chief Executive Officer decided. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The objection was noted against the decision. Dana Whitlock asked for the decision to be revisited. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

A request to revisit the sequencing rule was granted, with a date and a named piece of evidence attached. No consensus was reached; the Chief Executive Officer decided. Dana Whitlock asked for the decision to be revisited. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The objection was noted against the decision. The disagreement is recorded rather than resolved. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

The engineering view is that the deferral saves less than it costs, and that view is noted in full. Dana Whitlock asked for the decision to be revisited. A further test was added because of the dissent. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. The objection was noted against the decision. The disagreement is recorded rather than resolved. Yield 95 percent, scrap 19 thousand in Harness and electrical. Harness and electrical ran 95 percent first pass. Quillon Home Supply asked for the HS-400 pallet mover configuration. Capital spend 940 thousand this period.

There was no consensus on the hiring pause, and the pause proceeded with the dissent recorded against it. The objection was noted against the decision. The disagreement is recorded rather than resolved. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Dana Whitlock asked for the decision to be revisited. No consensus was reached; the Chief Executive Officer decided. The Beacon WMS adapter took most of the test cell time. On-time delivery 91 percent, Ironbark Sheet Metal the outlier. Win rate 35 percent, best in Southwest. Work in process 33 units, mostly Sheet metal.

Spares depot performance by part class, Q1 2025

Depot	Part class	Part lines stocked	Fill rate %	Backorders	Repair backlog units
Reno depot	mechanical	204	99	12	11
Columbus depot	mechanical	199	90	1	0
Dallas depot	mechanical	180	95	9	13
Atlanta depot	mechanical	175	88	4	3
Toronto depot	mechanical	226	96	11	17
Vehicle stock	mechanical	221	91	2	7
Reno depot	electrical and sensing	188	98	7	21

Depot	Part class	Part lines stocked	Fill rate %	Backorders	Repair backlog units
Columbus depot	electrical and sensing	267	93	0	0
Dallas depot	electrical and sensing	220	100	8	15
Atlanta depot	electrical and sensing	243	89	3	5
Toronto depot	electrical and sensing	266	97	10	19
Vehicle stock	electrical and sensing	233	92	5	1

Decisions, owners and dates recorded in Q1 2025

Evidence of closure means a document, a measurement or a signature, and status colours no longer qualify. Emil Farkas, Director of Manufacturing Engineering, took the largest open item. The oldest item dates from two sessions back. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Owners were named and dates set against 2025-05-15. One item closed with measured evidence. Capital spend 940 thousand this period. Halverson Optics quoted lead times moved again. Crew Foxtrot closed Riverbend without a second visit. Emil Farkas owns the Sheet metal recovery.

Dates were negotiated with the owners present, which removed the usual round of silent renegotiation afterwards. One item closed with measured evidence. Marcus Peil inherited an item after a role change. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Two due dates were changed in the room. The oldest item dates from two sessions back. Harness and electrical ran 95 percent first pass. Work in process 33 units, mostly Sheet metal. Burn 9380 thousand, runway 16 months. Days outstanding 45, Northstar Cold Chain the largest balance.

Three items carried forward from the previous session, one with a new owner after the original owner changed roles. Two due dates were changed in the room. Owners were named and dates set against 2025-05-15. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Emil Farkas, Director of Manufacturing Engineering, took the largest open item. One item closed with measured evidence. Attrition 10 percent annualised in Southwest. Capital spend 940 thousand this period. Bookings 231 units across 133 pursuits. Requisitions open 20, Sunil Achterberg holding the list.

The action list was pruned deliberately, because a list nobody believes is worse than a shorter list that gets done. One item closed with measured evidence. Emil Farkas, Director of Manufacturing Engineering, took the largest open item. This closed the first quarter with two sources. Dual supply changed the coverage arithmetic. Two due dates were changed in the room. The oldest item dates from two sessions back. Uptime 97.6 percent, interventions every 366 hours. Go-live cycle 47 days at Ashland Park. Marcus Peil and Dana Whitlock disagreed on sequencing. Emil Farkas owns the Sheet metal recovery.

Open and closed actions carried through Q1 2025

Reference	Item	Owner	Original due	Current due	Disposition
OR-1204	Qualify Brightwater Motion as second drive-unit source	Emil Farkas	2025-05-13	2025-06-03	Open, date revised; partial
OR-1508	Publish runway triggers with named observables	Ingrid Solberg	2025-04-27	2025-05-18	Open; none yet
OR-1006	Replace affected sensor heads at live sites on schedule	Owen Castellanos	2025-04-24	2025-05-15	Closed; nineteen units replaced, serial list attached
OR-1520	Set a plan freeze window inside the build month	Emil Farkas	2025-04-14	2025-05-05	Blocked; outstanding
OR-1523	Size the buffer stock on long-lead commodities	Hollis Bramwell	2025-04-20	2025-05-11	Closed by decision; decision recorded
OR-1526	Decide disposition of the superseded sensor head stock	Marcus Peil	2025-04-26	2025-05-17	Open, date revised; outstanding
OR-1529	Re-cut the stage definitions in the pipeline report	Marguerite Do	2025-05-02	2025-05-23	Blocked; outstanding
OR-1532	Rebuild the site cost model separating retrofit from	Marcus Peil	2025-05-08	2025-05-29	Closed by decision; memo circulated

Reference	Item	Owner	Original due	Current due	Disposition
	greenfield				
OR-1535	Draft deposit terms for multi-site commitments	Ingrid Solberg	2025-05-14	2025-06-04	Open, date revised; outstanding
OR-1538	Stage software releases across sites rather than at once	Griffin Tasse	2025-05-20	2025-06-10	Blocked; outstanding
OR-1541	Reconcile the two uptime definitions with the customer	Owen Castellanos	2025-05-26	2025-06-16	Closed by decision; report filed
OR-1544	Read the tooling ownership clauses on four part numbers	Hollis Bramwell	2025-06-01	2025-06-22	Open, date revised; outstanding
OR-1547	Bring deal-level notes for the top ten pursuits	Marguerite Do	2025-06-07	2025-06-28	Blocked; outstanding
OR-1550	Refresh compensation bands for field engineering	Renata Voss	2025-06-13	2025-07-04	Closed by decision; memo circulated
OR-1553	Split the reliability backlog by build vintage	Tobias Nkemdirim	2025-06-19	2025-07-10	Open, date revised; outstanding
OR-1556	Reissue the deployment playbook network section	Priya Ramanathan	2025-06-25	2025-07-16	Blocked; outstanding
OR-1559	Cost the second-shift ramp against overtime	Marcus Peil	2025-07-01	2025-07-22	Closed by decision; decision recorded